
The 5 Trading Secrets Every Beginner Must Know

A Comprehensive Guide to Profitable Trading

By Revolution Trading Pros

Introduction

Welcome to this exclusive guide from Revolution Trading Pros. If you are reading this, you have already taken the first and most important step toward becoming a successful trader: committing to education.

The financial markets can feel overwhelming. Thousands of indicators, conflicting opinions, and the constant noise of social media make it nearly impossible for beginners to know where to start. That is exactly why we created this guide.

Over the past decade, we have mentored hundreds of traders. We have seen the same mistakes repeated over and over, and we have identified the core principles that separate consistently profitable traders from everyone else. These are not gimmicks or get-rich-quick schemes. They are battle-tested strategies rooted in data, discipline, and risk management.

In the following pages, you will discover five foundational secrets that every beginner must understand before risking real capital. Each secret builds upon the last, forming a complete framework for approaching the markets with confidence and clarity.

Whether you are interested in stocks, forex, or cryptocurrency, these principles apply universally. Read this guide carefully, take notes, and revisit it often. The knowledge contained here could save you thousands of dollars in avoidable losses and accelerate your path to consistent profitability.

Secret #1: Moving Averages & RSI Indicator

Technical analysis is the study of price action and chart patterns to forecast future price movements. While there are hundreds of indicators available, two stand out as absolutely essential for beginners: Moving Averages and the Relative Strength Index (RSI).

Moving Averages Explained

A moving average smooths out price data by creating a constantly updated average price over a specific time period. The two most commonly used types are the Simple Moving Average (SMA) and the Exponential Moving Average (EMA).

- Simple Moving Average (SMA): Calculates the arithmetic mean of prices over a period. The 50-day and 200-day SMAs are the most widely followed by institutional traders.

- Exponential Moving Average (EMA): Gives more weight to recent prices, making it more responsive to new information. The 9-day and 21-day EMAs are popular for short-term trading.

The Golden Cross occurs when a shorter-term moving average crosses above a longer-term moving average, signaling a potential bullish trend. Conversely, the Death Cross occurs when the shorter-term average crosses below the longer-term average, signaling a bearish trend.

For example, when the 50-day SMA crosses above the 200-day SMA, many traders interpret this as a strong buy signal. Historically, this pattern has preceded significant upward moves in major indices like the S&P 500.

The RSI Indicator

The Relative Strength Index (RSI) is a momentum oscillator that measures the speed and magnitude of price changes. It ranges from 0 to 100 and is typically calculated using a 14-period lookback.

- Overbought (RSI above 70): The asset may be overvalued and due for a pullback. This does not mean you should sell immediately, but it is a warning to tighten your stops.

- Oversold (RSI below 30): The asset may be undervalued and due for a bounce. This can present buying opportunities, especially in an overall uptrend.

- RSI Divergence: When price makes a new high but RSI does not, this bearish divergence often precedes a reversal. The opposite (bullish divergence) applies at market bottoms.

The most powerful trading setups occur when moving average signals align with RSI readings. For example, if price is bouncing off the 50-day EMA while RSI is rising from the 30 level, this confluence of signals significantly increases the probability of a successful trade.

Pro tip: Never rely on a single indicator in isolation. The best traders use a combination of tools to confirm their thesis before entering a position.

Secret #2: Risk Management

Risk management is the single most important skill in trading. You can have the best strategy in the world, but without proper risk management, one bad trade can wipe out months of profits. Professional traders are obsessed with protecting their capital first and growing it second.

The 1% Rule

The 1% Rule states that you should never risk more than 1% of your total trading capital on any single trade. This means if you have a \$10,000 account, the maximum you should risk on one trade is \$100.

This might seem overly conservative, but consider this: with the 1% rule, you would need to lose 100 consecutive trades to blow your account. That is virtually impossible if you have any edge at all. Compare this to risking 10% per trade, where just 10 losses in a row would devastate your account.

- Account size: \$10,000

- Risk per trade (1%): \$100

- If you lose 10 trades in a row: \$900 loss (9% drawdown) - recoverable

- Compare with 10% risk: \$6,513 loss (65% drawdown) after 10 losses - catastrophic

Position Sizing

Position sizing determines how many shares or contracts you trade. It is directly linked to your risk management rules. The formula is straightforward:

Position Size = Risk Amount / (Entry Price - Stop Loss Price)

For example, if your risk per trade is \$100, your entry is \$50, and your stop loss is \$48, then:
Position Size = \$100 / (\$50 - \$48) = 50 shares. This ensures that if your stop loss is hit, you lose exactly \$100 - no more, no less.

Stop Losses

A stop loss is a predetermined price level at which you will exit a losing trade. Setting stop losses is non-negotiable for professional traders. There are several approaches:

- Technical Stop: Placed below a support level, moving average, or recent swing low.

- Percentage Stop: A fixed percentage below your entry price (e.g., 2-3%).

- Volatility Stop: Based on the Average True Range (ATR), which adapts to current market conditions.

- Trailing Stop: Moves up as the price increases, locking in profits while giving the trade room to breathe.

The golden rule: Always set your stop loss BEFORE entering the trade, and NEVER move it

further away from your entry. Moving your stop loss to avoid being stopped out is the fastest way to blow up a trading account.

Secret #3: Market Sessions & Candlestick Patterns

Understanding when to trade is just as important as knowing what to trade. Markets behave differently throughout the day, and timing your entries can dramatically improve your results.

Market Sessions

The global forex and stock markets operate across three major sessions:

- 🕒 Asian Session (Tokyo): 7:00 PM - 4:00 AM EST. Lower volatility, range-bound price action. Best for scalping strategies.
- 🕒 European Session (London): 3:00 AM - 12:00 PM EST. High liquidity and volatility. Many major trends begin during this session.
- 🕒 American Session (New York): 8:00 AM - 5:00 PM EST. Highest volume for US stocks. The overlap with London (8:00 AM - 12:00 PM) is the most volatile period.

For stock traders, the first 30 minutes after market open (9:30 AM - 10:00 AM EST) and the last 30 minutes before close (3:30 PM - 4:00 PM EST) tend to see the highest volume and most significant moves.

Essential Candlestick Patterns

Japanese candlestick charts provide visual insight into market psychology. Each candle represents four data points: open, high, low, and close. Here are the patterns every trader must know:

- 🕒 Doji: Open and close are virtually the same. Signals indecision and potential reversal. Most powerful at tops and bottoms.
- 🕒 Hammer / Hanging Man: Small body at the top with a long lower wick. A hammer at the bottom of a downtrend signals bullish reversal. A hanging man at the top signals bearish reversal.
- 🕒 Engulfing Pattern: A large candle completely engulfs the previous candle. Bullish engulfing at support levels and bearish engulfing at resistance levels are high-probability setups.
- 🕒 Morning Star / Evening Star: Three-candle reversal pattern. The morning star (bullish) appears at market bottoms; the evening star (bearish) appears at market tops.
- 🕒 Three White Soldiers / Three Black Crows: Three consecutive strong candles in the same direction. Signals strong momentum continuation.

Remember: candlestick patterns are most reliable when they form at key support and resistance levels, and when confirmed by volume and other indicators.

Secret #4: Volume Analysis & Market Sentiment

Price tells you what happened, but volume tells you why. Volume is the number of shares or contracts traded in a given period, and it provides crucial insight into the conviction behind price movements.

Volume Analysis Principles

- 🔗 Rising price + Rising volume = Strong uptrend (bulls are in control with conviction)
- 🔗 Rising price + Falling volume = Weak uptrend (buyers are losing interest, potential reversal ahead)
- 🔗 Falling price + Rising volume = Strong downtrend (panic selling, bears in control)
- 🔗 Falling price + Falling volume = Weak downtrend (selling pressure is easing, potential bottom)

Volume spikes often precede major price moves. When volume is 2-3 times the average, pay close attention - something significant is happening. This could be institutional accumulation, earnings reactions, or sector rotation.

On-Balance Volume (OBV)

OBV is a cumulative indicator that adds volume on up days and subtracts volume on down days. When OBV is rising while price is flat, it suggests accumulation by smart money - a bullish signal. When OBV is falling while price is flat, distribution is occurring - a bearish signal.

Market Sentiment Indicators

Understanding the crowd psychology can give you a significant edge:

- 🔗 Fear & Greed Index: When extreme fear dominates, it often signals a buying opportunity. Extreme greed often precedes corrections.
- 🔗 Put/Call Ratio: A high ratio indicates fear (more puts being bought). Extreme readings can signal contrarian opportunities.
- 🔗 VIX (Volatility Index): Known as the 'fear gauge.' Spikes in VIX often coincide with market bottoms.
- 🔗 Social Media Sentiment: Tools that track Twitter and Reddit sentiment can provide early signals of retail interest surges.

The most profitable traders are often contrarians. When everyone is euphoric, they are cautious. When everyone is panicking, they are looking for opportunities.

Secret #5: Compound Growth Strategy

The most powerful force in trading and investing is compound growth. Albert Einstein allegedly called compound interest the eighth wonder of the world. Whether or not he said it, the math is undeniable.

The Power of Consistency

Most beginners focus on hitting home runs - they want 100% returns in a week. Professional traders focus on consistent, small gains that compound over time.

Consider two traders with a \$10,000 account:

%I Trader A: Aims for 50% monthly returns. Achieves it twice, then loses 60% in month three.
Net result after 3 months: \$8,400.

%I Trader B: Aims for 5% monthly returns consistently. Net result after 3 months: \$11,576.
After 12 months: \$17,959. After 24 months: \$32,251.

Trader B's approach seems boring, but 5% per month compounded equals 79.6% per year. Over two years, that is a 222% total return. This is how professionals build wealth in the markets.

Building Your Compound Growth Plan

- %I Start with a realistic monthly target (3-5% for beginners).
- %I Track every trade in a journal with entry reason, exit reason, and lessons learned.
- %I Review your journal weekly to identify patterns in your winners and losers.
- %I Gradually increase position size as your account grows, maintaining the 1% risk rule.
- %I Reinvest profits rather than withdrawing early - let compounding work.
- %I Set quarterly milestones and celebrate progress, not individual trades.

The 90/90/90 Rule

There is a well-known statistic: 90% of traders lose 90% of their money in the first 90 days. This is not because trading is impossible. It is because most beginners skip the education, ignore risk management, and trade with emotions instead of a plan.

By reading this guide and implementing these five secrets, you are already ahead of the vast majority. The key now is execution and discipline.

About Revolution Trading Pros

Revolution Trading Pros is a premium trading education platform founded by professional traders with over a combined 40 years of market experience. Our mission is to transform beginners into confident, consistently profitable traders through structured education, live mentorship, and a supportive community.

Our comprehensive curriculum covers everything from the fundamentals you have read about in this guide to advanced strategies including algorithmic trading, options flow analysis, and institutional order flow.

What You Get With Our Full Course

- 8 in-depth modules covering development environment setup through deployment
- Step-by-step video tutorials with downloadable companion PDFs
- Live weekly Q&A sessions with professional traders
- Private community Discord with real-time trade alerts
- Lifetime access to all course materials and future updates
- Certificate of completion to showcase your expertise

Ready to Take the Next Step?

Visit us at revolutiontradingpros.com to enroll in our full trading course. Use code SECRETS2025 for an exclusive discount reserved for guide readers.

Remember: the best investment you can make is in your own education. The markets will always be there. Make sure you are prepared before you put your hard-earned money on the line.

We look forward to being part of your trading journey.